

Titan Company Ltd (NSE: TITAN)

Priced for more growth than my base case

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Summary

My 15-year DCF values Titan at **₹4,052 per share**, 17.0% below the ₹4,884 close on 25 September 2026. The gap does not come from the next few years, where the model follows analyst estimates of about 17% revenue growth a year to FY2029. It comes from the long run: growth fades to 7% by FY2042, net margins stay near 6.7%, and the business is valued at 26.5x FY2042 earnings, against about 86x FY2026 earnings today.

How the value is built

Assumptions follow Alpha Spread's base case for Titan, except the growth fade from FY2030, which is my own.

- **Revenue:** ₹876 bn in FY2026 to ₹5,852 bn in FY2042, a 12.6% CAGR. Growth follows analyst estimates for FY2027–FY2029 (17.2%, 17.6% and 17.0%), then fades along an S-curve to 7.0% by FY2042. I replaced the analysts' 7.2% for FY2030 with this fade.
- **Net margin:** 6.7% easing to 6.6% by FY2042, against 5.8% in FY2026 and 8.3% in Q1 FY2027.
- **Cash flow to equity:** each year's net income, discounted at a 10.26% cost of equity from the 25 September 2026 price date. Only the remaining 51% of FY2027 is counted.
- **Terminal value:** FY2042 net income of ₹387.9 bn × 26.5x = ₹10,287 bn. That is worth ₹2,261 bn today, or 62.7% of the ₹3,606 bn equity value.

What ₹4,884 is pricing in

Working backwards through the model:

- On my forecasts, the price needs an exit multiple of about **35x** FY2042 earnings, not 26.5x.
- At 26.5x, revenue would need to grow about 1.6 percentage points faster every year: a **14.2% CAGR** to FY2042 instead of 12.6%.
- A lower discount rate does not close the gap on its own. At 9.26%, the value is ₹4,562.

Why the market could be right

- **Track record:** revenue compounded at 23.2% a year and net income at 24.4% from FY2017 to FY2026. My 12.6% is roughly half that pace.
- **Momentum:** Q1 FY2027 revenue rose 29.3% year on year and net margin reached 8.3%, well above the 6.7% I assume.
- **Brand and market structure:** the Tanishq brand and the shift from local jewellers to organised chains could keep growth higher for longer than a fade to 7% implies.

Why I still see a gap

- At about 86x FY2026 earnings, the price leaves little room for a slowdown.
- 62.7% of my value sits in the terminal value, so the answer depends heavily on what investors will pay for Titan's earnings in 2042.
- Jewellery revenue moves with gold prices, which can flatter or hurt growth in any single year.

What would change my mind

Evidence that growth can stay about 1.6 points above my path for a decade, or that the 8.3% margin in Q1 FY2027 is sustainable rather than a one-off. Either would push the value toward today's price.

DCF VALUE PER SHARE

₹4,052

vs ₹4,884 close, 25-Sep-2026

–17.0% implied downside

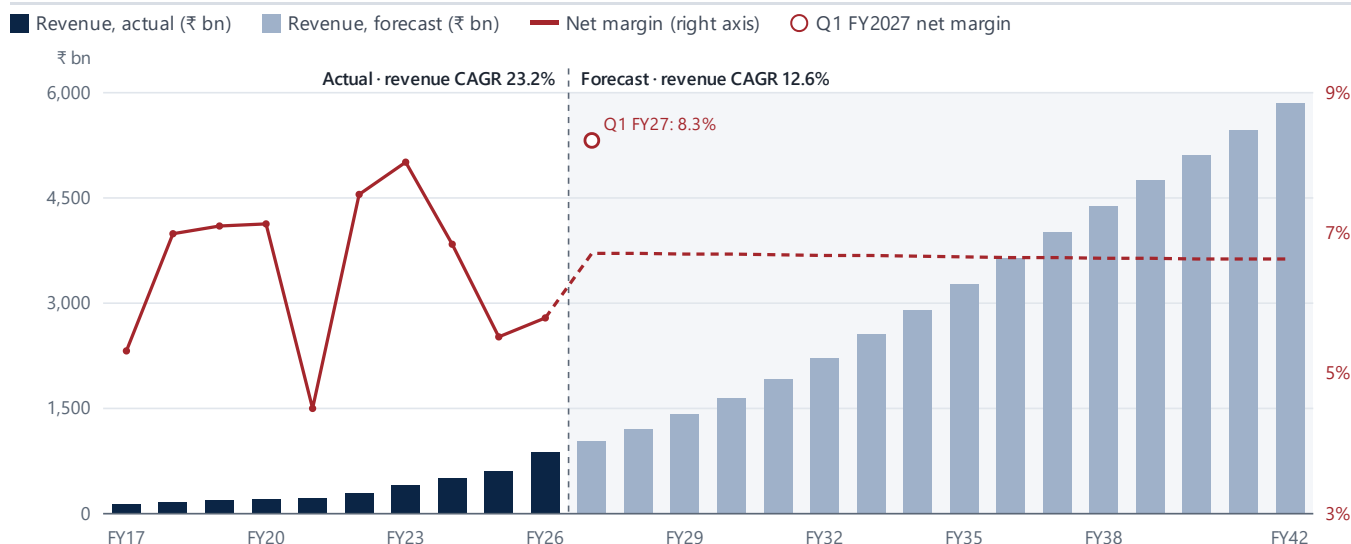
Market value, diluted	₹4,347 bn
Diluted shares	890 mn
P/E on FY2026 earnings	85.7x
Cost of equity	10.26%
Exit P/E, FY2042	26.5x
Terminal value share	62.7%
Revenue CAGR, FY26–42	12.6%
Net income CAGR, FY26–42	13.6%
Valuation date	25-Sep-2026

What the price implies

Exit P/E needed on my forecasts	~35x
Revenue CAGR needed at 26.5x	~14.2%

Base-case view: the share price is above intrinsic value. Only the more optimistic corners of the sensitivity tables on page 2 reach ₹4,884.

Revenue and net margin, FY2017–FY2042



Actuals: company filings (consolidated). Forecasts: the author's model. Fiscal years end 31 March.

Forecast summary (₹ bn)

	FY26A	FY27E	FY28E	FY29E	FY30E	FY32E	FY35E	FY38E	FY42E
Revenue	875.8	1,026.4	1,207.2	1,412.9	1,651.2	2,223.1	3,265.9	4,383.0	5,852.0
Revenue growth	44.9%	17.2%	17.6%	17.0%	16.9%	15.7%	12.6%	9.2%	7.0%
Net margin	5.8%	6.7%	6.7%	6.7%	6.7%	6.7%	6.7%	6.6%	6.6%
Net income	50.7	68.9	81.0	94.7	110.6	148.6	217.6	291.1	387.9
PV of net income counted	–	33.6	69.8	74.1	78.5	86.7	94.7	94.6	85.2

FY2027E counts 51% of net income: the part of the year after the 25-Sep-2026 price date. PV is at the price date.

Valuation bridge (₹ bn)

PV of net income, FY2027–FY2042	1,345.5
Terminal value at FY2042: ₹387.9 bn × 26.5x	10,287.4
× discount factor (15.51 years at 10.26%)	0.2198
PV of terminal value (62.7% of total)	2,261.0
Net cash / debt adjustments	none
Equity value	3,606.5
÷ diluted shares (mn)	890
Value per share (₹)	4,052
Share price, 25-Sep-2026 (₹)	4,884
Upside / (downside)	(17.0%)

Method and sources

- **Net-income DCF:** each year's net income is treated as cash flow to equity; no separate cash or debt adjustment is made.
- **Revenue:** analyst estimates for FY2027–FY2029, then an S-curve fade from 17.04% to 6.95% growth by FY2042. The fade is my assumption and replaces the analysts' 7.2% FY2030 estimate.
- **Net margin:** S-curve fade (weight $3x^2 - 2x^3$) from 6.71% to 6.63%.
- **Discounting:** 10.26% cost of equity; cash flows discounted to each 31 March year-end from the 25-Sep-2026 price date.
- **Sources:** forecast assumptions to FY2029 from Alpha Spread's TITAN DCF base case; historical financials from company filings via Screener.in (both retrieved 26-Sep-2026); share price from Yahoo Finance.

Sensitivity: value per share (₹)

Cost of equity (rows) × exit P/E on FY2042 earnings (columns)

	20.5x	23.5x	26.5x	29.5x	32.5x
9.26%	3,900	4,231	4,562	4,893	5,224
9.76%	3,681	3,990	4,298	4,606	4,915
10.26%	3,478	3,765	4,052	4,340	4,627
10.76%	3,287	3,555	3,823	4,091	4,359
11.26%	3,109	3,359	3,609	3,859	4,108

Revenue growth shift, every year (rows) × FY2042 net margin (columns)

	5.63%	6.13%	6.63%	7.13%	7.63%
–4 pts	2,232	2,383	2,534	2,685	2,835
–2 pts	2,806	3,003	3,200	3,397	3,594
Base	3,539	3,795	4,052	4,309	4,566
+2 pts	4,473	4,807	5,141	5,474	5,808
+4 pts	5,663	6,095	6,528	6,960	7,393

Outlined: base case (₹4,052). Shaded: at or above the ₹4,884 share price. In the right-hand table, the margin fades from 6.71% to the FY2042 level shown.